ECONOMIC SURVEYS BY THE OECD

BELGIUM-LUXEMBOURG ECONOMIC UNION

JULY 1962

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
PARIS

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- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

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BELGIUM

BASIS STATISTICS

THE LAND

Area (1,000 sq.km)	30.5
Agricultural area, 1960 (1,000 sq.km)	16.6
Woodland, 1959 (1,000 sq.km)	2.7

Major cities (1959)	inhab.
— Brussels	1,407,660
— Antwerp	856,845
— Liege	608,827
— Charleroi	467,752
— Ghent	457,312

THE PEOPLE

Population (1960)	9,178,000
Number of inhabitants per sq.km. (1950)	301
Population net natural increase (1955-60):	
— Yearly average	46,252
— Yearly rate per 1,000 inh.	5.1

Net immigration (average 1955-60)	9,998
Total labour force (1960)	3,614,900
Wage and salary earners in agriculture (1960)	29,100
Wage and salary earners in manufacturing industries (1960)	1,046,300

PRODUCTION

Gross national product, 1960 (billions of Belgian francs)	608.0
Gross national product per head, 1960 (U.S. $)	1,325
Gross fixed investment (average 1954-60):	
— percentage of G.N.P.	16,3
— per head (U.S. $)	189

Gross national product at factor cost by origin in 1960 :	
— Agriculture	6 %
— Industry	40 %
— Construction	7 %
— Other	47 %
Proportion of home production in food availabilities (B.L.E.U's) (average 1956-58)	69 %

THE GOVERNMENT

Current government expenditure on goods and services, 1960 (percentage of G.N.P.)	26
Current government revenues, 1960 (percentage of G.N.P.)	25
Central Government debt, 31st December 1960 (percentage of Central Government total revenues)	359

Composition of the House Representatives	
— Christian-Social Party	45 %
— Socialist Party	40 %
— Liberal Party	9 %
— Communist Party	2 %
— Other	4 %

Last elections: 1961
Next elections: 1965

LIVING STANDARDS

Calories per head, per day, (B.L.E.U.) 1957-58	2,930
Consumption of energy per head, 1957 (O.E.E.C. average = 100)	141
Steel consumption per head (B.L.E.U.), 1957 (O.E.E.C. average = 100)	98
Industrial production per head, 1958 (O.E.E.C. average = 100)	128

Number of private cars per 1,000 inhab. (1960)	82
Number of telephones per 1,000 inhab. (1960)	123
Number of T.V. sets per 1,000 inhab. (1960)	67
Number of students in universities 1960 (percentage of total population)	3 %

FOREIGN TRADE

EXPORTS

Exports of goods and services as a percentage of the G.N.P. (average 1953-60)	34
Main exports in 1961 (percentage of total exports) B.L.E.U.	
— Base metals	33
— Textiles	16
— Machinery and equipment	9
— Chemicals	7
— Transport equipment	6

IMPORTS

Imports of goods and services as a percentage of the G.N.P. (average 1953-60)	32
Main imports in 1961 (percentage of total imports) B.L.E.U.:	
— Minerals	16
— Machinery and equipment	12
— Textiles	12
— Base metals	12
— Transport equipment	9
— Vegetals	7

THE CURRENCY

Monetary unit : Belgian franc

Currency unit per U.S. dollar : 50

LUXEMBOURG

BASIS STATISTICS

THE LAND

Area (sq.km)	2,586
Agricultural area, 1960 (sq.km)	1,413
Woodland, 1954 (sq.km)	862
Major city:	
— Luxembourg (1960) (inhab)	71,653

THE PEOPLE

Population (1960)	314,889
Number of inhabitants per sq.km. (1960)	122
Population net natural increase (1953-60)	
— yearly average	1,201
— per 1,000 inhabitants	3.8
Net immigration (average 1953-60)	2,079
Total labour force (1959)	150,500
Wage and salary workers in agriculture (1960)	1,700
Wage and salary workers in manufacturing industry (1960)	45,100

PRODUCTION

Gross national product, 1960 (millions of francs)	24,413
Gross national product per head, 1960 (U.S. $)	1,551
Gross fixed investment (average 1954-60)	
— percentage of G.N.P.	22.4
— per head (U.S. $)	295
Gross national product at factor cost by origin 1960:	
— Agriculture	7 %
— Mining and quarrying industries	3 %
— Manufacturing industries	44 %
— Construction	7 %
— Other	39 %

THE GOVERNMENT

Current government expenditure on goods and services, 1960 (percentage of G.N.P.)	26
Current government revenues, 1960 (percentage of G.N.P.)	32
Central Government debt, December 31st 1960 (percentage of Central Government revenues)	189
Composition of the Chamber:	
— Christian-Social Party	40 %
— Workers-socialist Party	33 %
— Democratic Party	21 %
— Communist Party	6 %
Last elections: 1959	
Next elections: 1964	

LIVING STANDARDS

Gross average hourly earnings, 1960 (francs)	42.21
Number of private cars per 1,000 inhabitants, 1960	118
Number of telephones per 1,000 inhabitants, 1960	163
Number of T.V sets per 1,000 inhabitants, 1960	23

THE CURRENCY

Monetary unit : Luxembourg franc

Currency unit per U.S. dollar : 50

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BELGIUM-LUXEMBOURG ECONOMIC UNION

INTRODUCTION

1. The present state of the Belgian economy is satisfactory in some respects but rather uncertain in others. Unemployment is falling sharply; some sectors are expanding considerably; the deficit on public finance, while still high, is tending to fall and the cash position is easy; exports are again increasing and the balance of payments is in surplus. On the other hand overall industrial production appears hardly to have growth at all during the last few months. There is a growing awareness in the country of the need to speed up long-term economic growth and to encourage this development various measures have already been taken or are being prepared by the authorities. In Luxembourg, where the economy is dominated by the iron and steel industry, expansion is tending to slow down.

I. RECENT DEVELOPMENTS IN THE ECONOMIC SITUATION IN BELGIUM

2. After a marked expansion during the early months of 1961, in spite of the strikes during the winter of 1960-1961, the Belgian economy marked time for the rest of the year. Nevertheless, the seasonally adjusted index of industrial production for the first four months of 1962 was slightly lower than that for the four quarter of 1961.* Generally speaking, supply, made more elastic by the investment effort of the last few years, has so far had no difficulty in meeting demand, the growth of which has been limited only in the case of consumer goods demand. Available manpower, however, in tending to

* It should be pointed out that the weather during the winter of 1961-1962, which was more severe than in previous years, held back those activities affected by the weather: the coefficients applied for seasonal adjustments were calculated on the basis of earlier variations and were not enough to offset the effect of last winter on industrial output. The result is that the fall in the index of industrial production in the early months of 1962 compared with the fourth quarter of 1961 is of limited significance only.

become scarce and some localised shortages are even beginning to appear. Price stability, which has been remarkable since 1960 despite the steady increase in the cost of services, now seems much less assured after the sharp rise in certain food prices in April and May 1962. This has resulted in an automatic rise in wages over and above the increases granted or contemplated under new collective agreements. Wage increases, it is true, have been more modest than in neighbouring countries and have been more fully offset by productivity growth, so that the competitive position of Belgian industry has improved. Moreover, the balance of payments has remained in surplus in spite of events in the Congo. The state of the public finances continues to improve, and the position on the money and capital markets is very easy.

The main factors in demand

3. Industrial investment, stimulated by the healthy state of the economy in recent years, encouraged by the legislation of July 1959, and reinforced by investment by foreign companies,* was the most dynamic factor in demand in 1961. It increased by 10 per cent in volume during the year, compared with 8.7 per cent in 1960. According to enquiries addressed to heads of firms by the National Bank, it should continue to grow in 1962 though probably more slowly. The shrinking of profit margins, mainly due to the stickiness of selling prices, might also have the effect of slowing down the completion of projects. House building on the other hand lost momentum during the last months of 1961, not only because of the shortage of skilled labour but also because of the reduction in the number of building subsidies (down by 7 per cent on the previous year). Current tax readjustments (review of the cadastre) led to some hesitation in unsubsidised housing. Nevertheless, the large number of building permits granted in 1961 gives the impression that activity will be sustained throughout a large part of 1962, but that the increase in house building might be less marked (4 to 5 per cent in volume, compared with 8 per cent).

4. Greater encouragement is given to private investment by the July 1959 legislation. On 1st January 1962, loans amounting to 23.3 billion francs had been granted under this heading, representing the initiation of investment projects to the value of 54 billion francs. In 1962 interest rebates and subsidies, which will cost the Treasury approximately 750 million francs, are expected to stimulate some 30 billion francs worth of investment.

5. The public sector made a greater contribution to economic expansion in 1961 than in 1960. While expenditure on consumption increased hardly any faster than in the previous year

* Planned foreign private investment totalled 2.5 billion francs in 1959, 3.4 billion in 1960 and 6.7 billion in 1961, creating a total of 14,700 new jobs.

(+ 1.4 per cent as against 0.9 per cent), investment showed a substantial advance compared with a considerable decline in 1960. Investment projects in the public sector (Government and parastatal institutions) were about 15 per cent less in 1961 than in 1960, but in the first quarter of 1962 they again rose considerably, so that the year 1962 as a whole should show a new increase in public investment. This, however, will be less than the quite exceptional increase of 1961.

6. Exports of goods, corrected for seasonal variations, became stable in the second quarter of 1961, reached a peak in September and October, and then fell slightly in November and December. Over the whole period their average value per month was rather less than $340 million. Their increase in volume over the year was 5.3 per cent against 9.1 per cent in the previous year. On the other hand, they showed a marked recovery in the first five months of 1962, reaching a monthly average of nearly $355 million compared with $326 million for the year 1961, which indicates that progress over the whole year should be substantial.

7. Household consumption expenditure, which did not increase in proportion to incomes, limited the rise in overall demand. It rose more slowly in 1961 than in 1960 (+ 3.2 per cent in volume compared with 3.8 per cent) and the falling off observed throughout that year continued during the first months of 1962, at least as far as the turnover of the big stores was concerned. It is difficult to explain this cautious attitude of consumers, the more so since their incomes are expected to increase more substantially than in 1961. The strikes in the winter of 1960-1961 and certain fears about the tax reforms now being worked are probably behind this cautious attitude.

Trends of supply

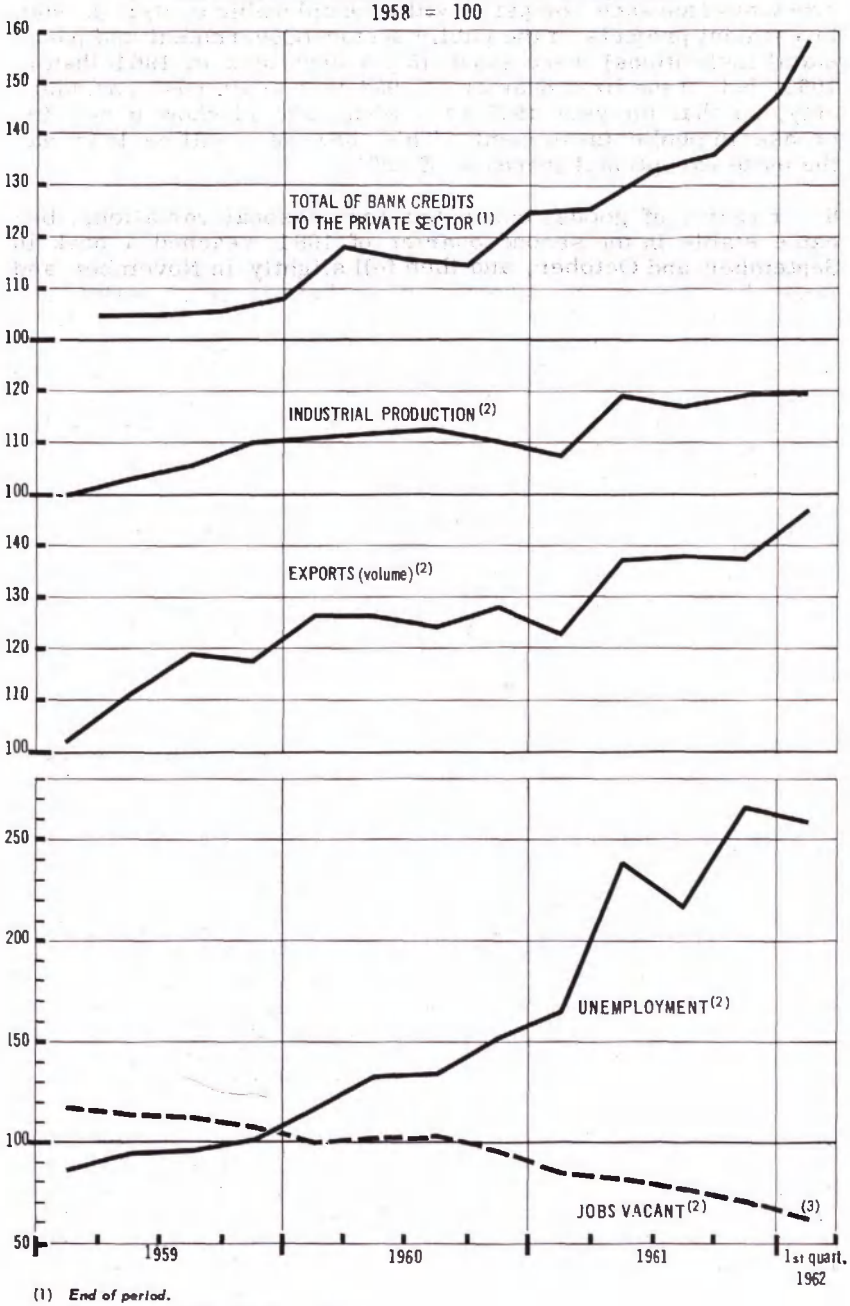
8. The gross national product increased in volume by 4 per cent in 1961, following an increase of 4.3 per cent from 1959 to 1960. If it had not been for the production losses caused by the strikes of December 1960 and January 1961, growth would probably have continued without interruption. In 1962, the gross national product should continue to rise, given the large increase in exports and the likelihood of a fresh increase in investment. The expansion might however be a little slower.

9. Industrial production increased rapidly during the first months of 1961 after the strikes of December and January. To some extent this was a matter of making up arrears, and from May to the end of the year the seasonally adjusted Louvain index of industrial production remained steady at a record level. For the first four months of 1962 its average level was 138, compared with 139 in the last quarter of 1961, the monthly average for that year being 135 (1953 = 100). Industrial production increased on the average by 4.7 per cent between

Diagram 1

MOVEMENT OF SELECTED ECONOMIC INDICATORS

1958 = 100



(1) *End of period.*

(2) *Seasonally adjusted quarterly averages.*

(3) *From February 1962, certain classes of handicapped workers are excluded from unemployment statistics. To maintain comparability in the series, an estimated figure for these classes has been included in the first quarter 1962 value plotted in the diagram.*

SOURCE : O.E.C.D. General Statistics.

1960 and 1961, compared with an increase of 5.7 per cent from 1959 to 1960. The shortage of skilled labour seems to have held back expansion in the metal working industry and even in coal mines. Another reason for the fall in coal production, however, lies in the re-organisation programme, while in the case of iron and steel the reason why the 1960 level of activity was not equalled was the unfavourable trend in the world market which had a marked affect on prices. Only in the textile and metal-working industries was the growthing output significantly higher in 1961 than in 1960. The chemicals industry again increased its production, by 7.6 per cent compared with 8.9 per cent in the previous year, and the foodstuffs industry by 4.1 per cent as against 5.2 per cent. The lively demand for the products of the metal-working industry and the improvement in the market for iron and steel products suggest that a steady expansion of production may be expected in 1962.

10. A Coal Board ("Directoire charbonnier") came into operation on 1st January 1962, with powers which should enable it to overcome the legal obstacles which private concerns had placed in the way of the coal industry rationalisation plan. It will also have the task of co-ordinating and, if necessary, regulating the activities of coal-mining firms in matters of production, prices, home and foreign trade, and questions of labour and investment finance so far as may be compatible with the application of the E.C.S.C. Treaty.* The rationalisation of the coal industry seems to be proceeding satisfactorily, although the price of many qualifies of Belgian coal at the end of 1961 was still higher than in other Member countries of the Community and there were large stocks in hand. As the production of the E.C.S.C. in 1962 is once again tending to create a surplus, the High Authority has decided to continue until the end of 1962 the arrangements for isolating the Belgian market which were decided on at the end of 1959. Import quotas were, however, enlarged by 3.3 per cent over the 1961 level for coal imported from third countries, and by 4 per cent for deliveries from other members of the E.C.S.C. The last part of the programme for closing down mines, affecting a total capacity of 2.5 million tons, will be carried out during 1962 and 1963 as planned. The restrictions on running down stocks will be maintained.

11. The growth in the volume of agricultural production was on the whole, small in 1961. For most of the main crops (such as cereals, sugar beet and potatoes) harvests did not equal the exceptional levels of 1960, and milk production remained stationary. Horticultural production on the other hand, which had declined in 1960, increased by 6 per cent. Production costs rose more than in 1960 (by 2.9 per cent compared with 1.6 per cent), but prices were firmer. As the prolonger winter seriously retarded vegetable crops in 1962, it is likely that over the

* The High Authority of the E.C.S.C. has nevertheless challenged the powers of the "Directoire charbonnier", thus defined, as incon istent with the rules of the E.C.S.C.

whole year agricultural production will not exceed its 1961 level.

12. There was a considerable increase in employment in manufacturing industries (particularly in the metal-working sector) and services. Thus, in spite of the smaller numbers employed in agriculture and coal mining, and the return of Belgians from the Congo, unemployment continued to decline. In January 1962* seasonally corrected figures for total unemployment even fell below the level reached at the height of the expansion of 1957 and amounted to less than 2 per cent of total manpower. Surplus available manpower has thus practically disappeared, and while there is no real general shortage, the building and metal-working industries are beginning to experience some difficulties in getting sufficient labour.

Prices and wages

13. The fall in prices of certain imported goods (due to the world surplus of certain raw materials and the application of the Treaty of Rome), and the increases in productivity which to a large extent offset wage increases, led to a continuing decline in industrial wholesale prices in 1961 and the first few months of 1962 (I.R.E.S.P. index). As the increase in agricultural wholesale prices also remained moderate, Belgian prices on the whole appeared particularly stable, and this is shown also by the movement of the retail price index. The sudden increase in this index from 111.67 in March (1953 = 100) to 114.26 in June can be explained by the rise in prices of certain foods, especially potatoes which were late this year. From June 1961 to June 1962 retail prices increased by 2.9 points, an increase accounted for mainly by the jump in food prices in the spring, but also, by the continuing rise in the cost of services and by the increase in indirect taxes in 1961. The rise went beyond the point at which the sliding scale machinery comes into operation, and wages have been automatically increased by 2.5 per cent in a number of sectors with effect from 1st June, increases being due in other sectors with effect from 1st August.

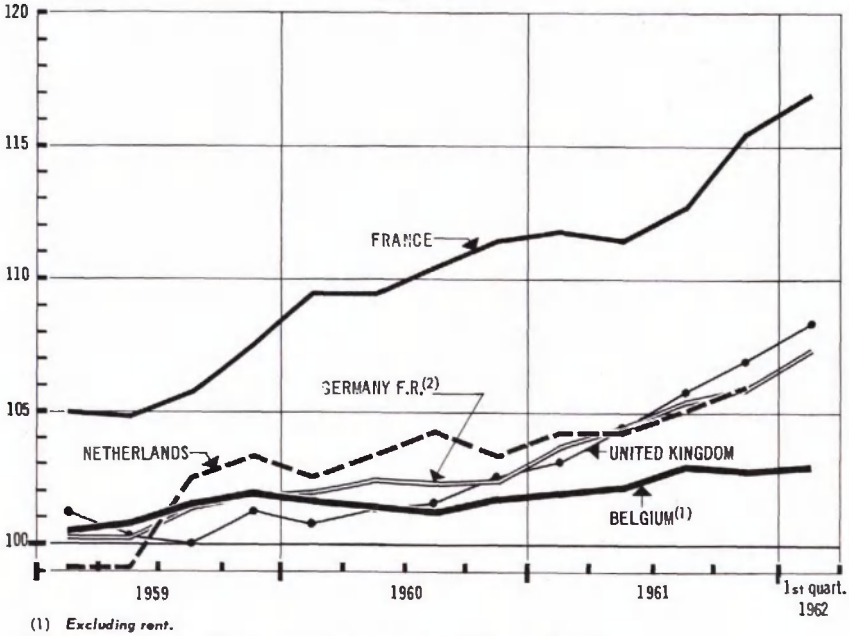
14. On the whole, there has been no excessive tension on the labour market and wage increases in 1961 were of the same order of magnitude as in 1960. While the 1959-1960 increases, however, resulted from price indexation clauses, the 1961 increases were genuine wage increases stipulated in new collective agreements. On a yearly average, according to the I.R.E.S.P. (Louvain), the monthly "social" wage (that is to say including social security benefits) increased by 3.8 per cent in 1961 compared with 4.8 per cent in 1960 for unmarried

* From February onwards the statistics have not been exactly comparable as wholly unemployed person considered as unfit for work have been progressively excluded from the totals since that date.

Diagram 2

EVOLUTION OF THE CONSUMER PRICES

1958 = 100



(1) *Excluding rent.*

(2) *Consumers' group with average monthly expenditure in 1958 around 570 DM.*

SOURCE : O.E.C.D. General Statistics.

persons, by 3.8 per cent compared with 4 per cent for married persons with two children, and by 6.9 per cent compared with 4 per cent for married persons with four children. This increase resulted in a rise in wage-costs of approximately 5 per cent, which was however lower than that recorded in neighbouring countries (8.4 per cent in France, 10.6 per cent in the Netherlands and 12.7 per cent in Germany, according to the I.R.E.S.P.). Moreover increases in productivity, in a country like Belgium where the working population remains practically constant, roughly correspond to those of the national product and have therefore been far from negligible in the last few years; the competitive position of Belgian industry on the international market has thus improved.

Money and credit

15. The money supply increased markedly during 1961, 7.7 per cent between the beginning and the end of the year compared with only 1.9 per cent during 1960; savings in quasi-monetary form also increased at an appreciably greater rate than in previous years. During the first months of 1961, this increase in the money supply essentially reflected increased foreign

Table 1. VARIATIONS IN TOTAL LIQUID ASSETS

Billions of Belgian francs

	MONEY SUPPLY					ORIGIN OF VARIATIONS				
	NOTES AND COIN (1)	SIGHT DEPOSITS	TOTAL	QUASI-MONETARY LIQUID RESOURCES (2)	TOTAL	FOREIGN TRANSACTIONS (3)	MONETARY FINANCING OF THE PUBLIC AUTHORITIES (4)	MONETISATION OF THE PUBLIC DEBT	CREDIT TO THE PRIVATE SECTOR	MISCELLANEOUS
1958	+ 4.8	+ 6.7	+11.5	+ 3.8	+15.3	+14.9	+ 5.6	+ 4.1	- 8.4	- 0.9
1959	+ 1.0	+ 5.8	+ 6.8	+ 5.8	+12.6	+ 0.7	+ 4.4	+ 3.2	+ 4.4	- 0.1
1960	+ 5.5	- 1.4	+ 4.1	+ 5.8	+10.5 5)	+ 1.9	+ 5.8	+ 2.1	+ 4.7	- 4.0
1961	+ 5.4	+11.6	+17.0	+ 9.3	+25.8 5)	+ 7.8	+ 4.3	+ 1.9	+ 8.2	+ 3.6
1960										
1st quarter	- 2.5	- 1.3	- 3.9	+ 5.1	+ 1.2	+ 4.7	- 5.1	+ 1.2	+ 0.4	-
2nd quarter	+ 3.3	+ 4.1	+ 7.4	- 1.8	+ 5.6	- 0.1	+ 4.9	- 0.3	+ 0.7	+ 0.4
3rd quarter	+ 1.5	- 7.2	- 5.7	+ 2.4	- 2.4 5)	- 4.6	+ 4.7	+ 1.0	- 0.5	- 3.0
4th quarter	+ 3.2	+ 3.1	+ 6.3	+ 0.1	+ 6.1 5)	+ 1.9	+ 1.3	+ 0.2	+ 4.1	- 1.4
1961										
1st quarter	- 1.2	+ 3.4	+ 2.2	+ 3.4	+ 5.4 5)	- 1.9	+ 4.9	+ 0.6	- 1.6	+ 3.4
2nd quarter	+ 2.3	+ 1.9	+ 4.1	+ 0.4	+ 4.5 5)	+ 0.1	+ 0.4	+ 0.2	+ 2.7	+ 1.1
3rd quarter	+ 1.3	+ 0.5	+ 1.8	+ 3.6	+ 5.3 5)	+ 4.3	+ 1.9	+ 0.4	+ 0.5	- 1.8
4th quarter	+ 3.0	+ 5.8	+ 8.9	+ 1.9	+10.6 5)	+ 5.3	- 3.9	+ 0.7	+ 6.6	+ 0.9

1) After deducting notes and coin held by the monetary institutions (the National Bank, the commercial banks, the Postal Cheque Office and various credit institutions).
2) Quasi-monetary resources comprise: bank time deposits; residents' deposits in foreign currencies at banks, and the credit balance of the Treasury at the National Bank of Belgium.
3) Excluding capital transactions of the public authorities and official grants.
4) Including the balance on their capital transactions abroad.
5) These totals have been adjusted for the accounting changes made necessary by the accession of the Congo to independence. No accurate breakdown of these adjustments as between the different categories of liquid assets could be made

SOURCE: Belgian National Bank.

currency indebtedness of the Treasury to foreign countries and the Belgian banks, the banks transferring their acquisitions of foreign exchange to the National Bank. In the second half of the year relations with foreign countries contributed most to the increase in liquidity, the balance on current payments showing a marked improvement. Loans made by the monetary institutions to the private sector also expanded more rapidly in 1961 than in 1960, particularly during the last quarter of the year.

16. The money market became progressively easier during 1961 and the first months of 1962, due to the rapid growth of current liquid assets. The large increase in sight deposits (+ 11.3 per cent) and time deposits helped to strengthen the cash position of the banks. They were thus easily able to meet the increased demand for credit from the private sector (which rose by 19 per cent from one year to the other) without having to resort to rediscounting at the National Bank, whose portfolio of bills, already greatly reduced, diminished even further from December 1960 to December 1961. This abundance of liquidity pushed down rates of interest on the money market. The rates on 6-month Treasury certificates fell from 4.86 per cent in January 1961 to 3.396 per cent at the beginning of June 1962. As the balance of payments improved and interest rates on the money and capital markets fell, the National Bank reduced the rediscount rate on four occasions, on 24th August, 28th December, 18th January, and 22nd March, bringing it progressively down from 5 per cent to 4 per cent. Acceptances certified in advance by the National Bank and representing exports still enjoy, moreover, a preferential regime, the present rediscount rate being 3 per cent.

17. A reform of banking regulations and of the money market, intended to make the machinery more flexible, took effect from 1st January 1962. Its object is to make it possible both to encourage economic recovery and to restrict credit, according to the needs of the moment. Since 1946 the commercial banks had been required to invest a high percentage of their deposits (65 per cent for the banks known as "banques de grande circulation") in Treasury certificates and subsequently in part, at least, in other public short-term and long-term securities. At times when deposits were increasing, the Treasury necessarily and automatically benefited from the increased resources, a reverse effect operating when deposits declined. To avoid this automatic effect, the system of cover ratios was changed in November 1957, and the banks were no longer required to hold Treasury paper for more than a fixed amount, with the possibility of making up the compulsory cover in the event of an increase in bank deposits by acquiring certificates of the Securities Stabilization Fund ("Fonds des rentes"). Under the new system the cover ratio is abolished and replaced by a "floor" of Government securities. The banks must hold public securities (Treasury certificates and certificates of the "Securities Stabilization Fund" and public funds) to a sum equal to at least 85 per cent of the average liabilities callable from the

banks between 31st January and 31st October 1961, but they are no longer required to acquire further securities when their deposits rise above this level. The new system, which leaves the banks quite free to dispose of additional deposits, entails a risk of excess liquidity, and the Banking Commission therefore decided to institute at the same time a variable monetary reserve ratio fixed on the proposal of the National Bank. Under this new regulation banks must keep a "monetary reserve" consisting either of sight deposits in a special account with the National Bank, sight deposits with the Securities Stabilization Fund or Government securities of a special type. The sums blocked in this way may amount to 20 per cent of their deposits at sight and at one month, and up to 7 per cent of their deposits at more than one month. The rates of interest on certificates of the Securities Stabilization Fund are now fixed by a weekly ruling, whereas they formerly bore a fixed relation to rediscount rates. The rates of interest on bank advances, which since November 1957, had also been fixed in relation to rediscount rates, are henceforward more flexible.

18. The capital market was less active in 1961 than in 1960. Government borrowing totalled 13 billion francs against 23.4 billion in the previous year. On the other hand "para-statal" institutions and local authorities substantially increased their borrowing: 12.5 billion francs compared with 7 billion in 1960. Share and loan issues by the private sector remained very limited. This sector, it is true, is largely self-financing and prefers recourse to loans subsidised under the July 1959 legislation.

Public finance

19. The authorities continued their work of reform of the public finances. In spite of a fresh increase in expenditure (on account of public debt charges, salaries and pensions, and State education) the cash deficit was reduced to 19.9 billion francs in 1961 compared with 26.5 billion in 1960, due to a substantial increase in revenue from taxation resulting from the buoyant economic situation and an increase in indirect taxes, which brought in an additional 4 billion francs. The result was that the public debt went up more slowly than in the previous year, by 18.4 billions (excluding drawings on the I.M.E., 14.8 billions if they are included) compared with 21.9 billions in 1960 and 22.3 billions in 1959. In 1961, the short-term external debt was reduced by 3.5 billions, while the medium-term external debt went up by 4.8 billions and the long-term external debt by 1.4 billions. Since May 1961, the authorities have been seeking to consolidate the short-term external national debt. During the first five months of the year, it went up by 6 billions and fell by 9.7 billions in the following seven months. The bulk of new resources was found on the Belgian long-term capital market, which supplied in 1961 a net amount of 13 billion francs.

Table 2. FINANCING OF THE TREASURY

Billion of Belgian francs

BUDGETARY TRANSACTIONS (IRRESPECTIVE OF FINANCING YEAR) BY CALENDAR YEAR	1959	1960	1961
Actual revenue	+ 100.4	+ 108.4	+ 120.7
Actual expenditure	- 126.2	- 134.9	- 140.5
Balance	- 25.8	- 26.5	- 19.8
Funds of other parties	- 1.0	- 0.2	- 2.5
Balance to be financed by borrowing	26.8	- 26.7	- 22.3
Short-term internal debt .	+ 1.8	- 1.1	+ 5.1[1]
Bank	- 0.4	+ 0.2	+ 0.4
Para-statal institutions .	+ 5.8	- 3.1	+ 3.2
Postal Cheque Office ...	+ 2.2	+ 2.7	+ 0.4
Congo and Ruandi-Urundi	- 5.5	- 1.1	+ 0.1
Miscellaneous bills	- 0.3	+ 0.1	+ 1.0[1]
Borrowing from the National Bank	+ 0.4	- 2.2	+ 0.5
Internal Medium-term debt	- 2.4	- 6.1	-
Internal long-term debt ...	+ 20.3	+ 27.1	+ 13.6
External short-term debt .	+ 4.0	+ 10.5	+ 1.2
External long-term debt ..	+ 1.2	+ 0.1	+ 2.2
Total borrowing	+ 25.3	+ 28.3	+ 22.0
Change in Treasury cash holdings	- 1.5	+ 1.6	- 0.3

1) Excluding repayment of 3.6 billion francs debt to the I.M.F. This operation, carried out by the National Bank in accordance with the statutory provisions, did not affect the cash position.

SOURCE: Information bulletins of the Ministry of Finance.

Nor did the Government find any difficulty in obtaining short-term funds on the domestic market. In consequence it is enjoying a comfortable cash position. Public debt increased more slowly during the first months of 1962, and the consolidation of foreign unfunded debt was continued. During the first four months of the year public debt increased by 12.4 billion francs.

Allowing for a figure of 1.5 billion representing a fictitious increase relating to operations with the International Monetary Fund, the real increase is therefore 10.9 billions compared with 13.5 during the corresponding period of 1961 and short-term external debt has been reduced by 3.3 billions whereas, during the corresponding period of 1961, it increased by 5.4 billions.

20. The draft budget for 1962 allowed for an overall deficit of 14.9 billion francs. Revenue was estimated at 132 billion francs on the basis of present tax legislation and on the assumption that the gross national product would increase by 4 per cent. Compared with the 1961 draft budget revenue will increase by 7.2 per cent. The increase in expenditure will be a little greater (+ 8.6 per cent); 7.2 billions of this increase (which totals 11.7 billions) will be accounted for by increases in public debt, pensions and State education. Housing subsidies, incentives to economic expansion, and public works undertaken direct by the Government are among the other headings which show an increase compared with the 1961 draft budget. Taking into account the sums needed for the "para-statal" institutions, the total sums which the public sector will have to raise on the capital market in 1962 can be estimated, provided the deficit remains within the expected limits, at some 30 billion francs, whereas for each of the years 1959 and 1960 the amount raised was of the order of 40 billion francs.

21. Up to the present time the main consequence of the effort to reform the public finances has been to put an end to the disquieting trend of public debt. There nonetheless remains a somewhat high overall deficit, and the ordinary budget, which it was hoped could be balanced in 1961, has again shown a deficit (4.7 billion).* Even allowing for the fact that amortization charges on public debt are included in the ordinary expenditure, and that the current operations of the central Government in fact show a better balance, such results are not entirely satisfactory in a period of high economic activity. Moreover the proportion of consumption expenditure and transfer payments to total budgetary expenditure, which was already regarded as too high in the past, increased again in 1961. It is for this reason that the authorities, in their anxiety to complete the reform of the public finances, are endeavouring to bring about structural changes. In particular, Parliamentary Committees are discussing a proposal for tax reform designed to make the system more efficient and equitable. If the discussions

* There are various reasons for this:
- the strikes in January 1961;
- the delay in applying the new rates of transmission tax and other tax increases;
- the delay of a year in enforcing the new Communal tax system, which entailed increased central government subsidies.

The full effect of the 1961 reforms will therefore only be felt in 1962.

were lengthy, the new system when adopted would only apply to 1963 incomes.

Table 3. CENTRAL GOVERNMENT BUDGET

Billion of Belgian francs

	1961		1962
	INITIAL ESTIMATES	RESULTS[1]	INITIAL ESTIMATES
ORDINARY BUDGET			
Receipts	122.9	120.4	131.7
Expenditure	-122.9	-125.1	-132.2
Balance	0.0	-4.7	-0.5
EXTRAORDINARY BUDGET			
Expenditure authorisations[2] .	10.8	10.5	12.6
Payment authorisations[3] ...	12.7	15.6	15.1
GENERAL BUDGET			
Receipts	123.5	121.1	132.4
Expenditure	135.6	140.7	147.3
Balance	-12.1	-19.6	-14.9
Non-budget expenditure planned	3.0[4]	-1.5	
Total deficit	-15.1	-21.1	-14.9

1) Results at 31st March 1962, end of financial year 1961.
2) Total of orders planned or placed during the budgetary year (15 months).
3) Total of payments planned or made during the budgetary year.
4) Repayment on behalf of the Congo of guaranteed loans; and payment of salaries and pensions on behalf of the Congo.

SOURCE: General Budget Statement of Revenue and Expenditure for the financial years 1961 and 1962.

II. THE ECONOMIC SITUATION OF LUXEMBOURG

22. The slowing down of the rate of expansion of the Luxembourg economy, which had begun to be noticeable in the second half of 1960, was confirmed during the first half of 1961, and

was even followed by some reduction of activity during the last months of 1961 and the first months of 1962. Thus the increase in the gross national product, which had been 7 per cent between 1959 and 1960, was only 3 per cent in 1961.

23. This slackening of economic activity can be attributed mainly to the trend in exports, which failed during 1961 to play their part in sustaining total demand. Iron and steel products, which make up more than 80 per cent of the total sales of Luxembourg products abroad, found their markets contracting during the second half of the year. Thus deliveries of rolled products were only 1.5 per cent above those of 1960, whereas during that year they had increased by 10.3 per cent over 1959. House building and public investment remained at their 1960 level. On the other hand private investment and consumer expenditure, increased considerably, income having rising appreciably as a result of increase in employment in industry - 1.2 per cent in a year - in wages rates, and income from transfers.

24. In agriculture, milk, butter and meat production rose in 1961, but cereal harvests were less plentiful than in 1960. Services, on the other hand, showed a fairly lively expansion in spite of a fall in railway receipts towards the end of the year associated with the slowing down of steel production.

25. The slower rate of expansion of industrial production in 1961 (the official index rose by only 2.9 per cent compared with 8.5 per cent in 1960) can be explained not only by the less satisfactory results in the iron and steel industry (a rise of 2.2 per cent compared with 10.2 per cent)* but also by full employment which set a limit to expansion of activity in various other sectors. The tension on the labour market in fact persisted in spite of an accelerated intake of foreign workers, which increased by 4.5 per cent** it was mainly due to the fact that the steel industry tried to retain its labour force in spite of a lower level of activity. The structural decline in the quarrying, textile and timber industries continues. Only iron ore processing, drink and tabacco, and some other less important industries showed a greater advance than in 1960. In the first four months of 1962 the index of industrial production was 5.2 per cent less than in the corresponding period of 1961. The iron and steel industry, in particular, failed to maintain last year's level of activity.

26. The official cost-of-living index rose by 1 per cent between May 1961 and May 1962 as a result of increases in the prices of certain goods imported from Germany and the Netherlands and increased costs of services.

* The iron and steel industry accounts for two-thirds in the weighting of the industrial production index.

** The proportion of foreign workers in industry (including building) thus rose from 28.9 per cent in 1960 to 29.9 per cent in 1961.

27. The banking sector continued to enjoy a highly liquid position in 1961, and the Luxembourg banks as in the past, used a part of their additional resources* to discount Belgian commercial bills and purchase Belgian Government securities. The State Savings Bank having paid a "fidelity bonus" ("prime de fidélité") on savings deposits, the banks slightly increased their rates of interest on money lent by them while leaving unchanged the rates on money borrowed with the exception of those on investment credits which were reduced from 4.5 per cent to 4 per cent.

28. The position of the Treasury was comfortable in 1961. The execution of the 1960 budget showed an overall surplus of 472.5 million francs, and the surplus seems to be maintained at a level comparable to 1961 (461 million for the first fifteen months of the financial period). The result was a reduction of 5.5 per cent in the national debt between December 1960 and December 1961. The 1962 budget shows an overall deficit of 75 million francs, but the draft 1961 budget forecast a deficit of 109 million. Revenue should increase by 6.8 per cent in 1962 while expenditure should rise from 5,840 million francs to 6,198 million (plus 6.1 per cent). The increase in revenue will be more or less marked according to the general level of economic activity.

29. An increase in private investment and more particularly in public investment may be expected in 1962. Private consumption expenditure should also continue to increase. On the other hand, it is difficult to foresee what will be the rate of increase of exports, on which the gross national product largely depends, because of the prevailing uncertainty about the future trend of the world steel market. The steel industry received fewer new orders during the second half of 1961, but these increased again during the first months of 1962 and it is thus probable that a satisfactory level of exports will be maintained during the first half of this year and that the gross national product in 1962 will change little from its 1961 level.

III. INTERNATIONAL ECONOMIC RELATIONS OF THE B.L.E.U.

Foreign trade

30. The trade balance (imports c.i.f. and exports f.o.b.) showed a deficit of $280 million in 1961 compared with one of $180 million in 1960, only 93 per cent of imports being covered by exports in 1961 compared with 95 per cent in 1960. The

* Bank sight and time deposits increased by 24 per cent between December 1960 and December 1961.

strikes at the beginning of the year largely explain this deterioration in the trade balance (the deficit for the first two months was $134 million), but it is also due in part to the lack of growth of exports after the first months of 1961 and to a certain deterioration in the terms of trade following the decline in prices of steel and certain chemical products; the index of the terms of trade (1953 = 100) was 97 in the last quarter of 1961 compared with 102 a year earlier. During the first four months of 1962 the trade balance (c.i.f. - f.o.b.) showed a surplus as a result of increased exports. This was exceptional, as the B.L.E.U. trade balance is normally in deficit.

31. The increase in exports by value slowed down considerably (plus 4.5 per cent in 1961 compared with 13.5 per cent in 1960). While exports of base metals, minerals, cement and glass declined, foodstuffs, machinery and equipment, and transport equipment enjoyed wider markets. Sales of other Member countries of the E.E.C. increased by 9.5 per cent, sales to the Netherlands increasing by 14.4 per cent, to France by 12.5 per cent and to Italy by 8.4 per cent. Exports to Germany increased by only 1.2 per cent, as Germany reduced her purchases of steel, which represented 25 per cent of total exports in 1960, by 14 per cent. Exports to the EFTA countries increased by 5.8 per cent, but this increase was largely due to the delivery of a ship to Portugal. On the other hand sales to the United States hardly increased at all. They are in danger of being affected in 1962 by the recently announced increase in customs duties on carpets and uncoloured window glass. Although sales of carpets to the United States represented only 0.5 per cent of the total export of the B.L.E.U. in 1960, and those of window glass only 0.2 per cent, the effects of the restrictive measures could be serious in the branches of the industries concerned and in certain regions. The Congo also placed restrictions on imports, because of foreign exchange shortage. The result was a fall of 31 per cent in the value of Belgian exports to the Congo between 1960 and 1961.

32. Imports increased more rapidly than exports (by 6 per cent) but at a lower rate than in the previous year when it was 13 per cent. The expansion of imports particularly affected raw materials and capital equipment. More than half of the imported goods now come from the countries of the E.E.C. whose sales to the B.L.E.U. increased by 12 per cent in 1961. There is thus a clear trend towards concentration of trade within the European Economic Community.

Balance of payments

33. The balance on current payments showed a deficit of $26 million during the first six months but recovered strongly in the second half of the year with a surplus of $132 million. This recovery applied to the trade balance as well as to invi-

Table 4. BALANCE OF PAYMENTS OF THE B.L.E.U.

Millions of dollars

	1958	1959	1960	1961	1960		1961	
					1st HALF	2nd HALF	1st HALF	2nd HALF
1. Trade balance (f.o.b. - f.o.b.)	+ 90	- 36	+ 26	-	+ 52	- 26	- 34	+ 34
2. Invisible transactions and private transfers	+284	+124	+134	+106	+132	+ 2	+ 8	+ 98
3. Current balance[1) + 2)]	+374	+ 88	+160	+106	+184	- 34	- 26	+132
4. Official grants	-	- 16	- 50	- 16	- 34	- 16	-	- 16
5. Official long-term capital (ordinary operations)[1)]	- 34	- 59	+ 1	+198	+ 2	- 3	+ 24	+174
6. Private long-term capital[7)]	- 98	- 18	- 54	+ 46	- 30	- 24	- 6	+ 52
7. Basic balance[3)+4)+5)+6)]	+242	- 5	+ 55	+334	+122	- 67	- 8	+342
8. Official extraordinary long-term capital	-	+ 3[2)]	+ 28	+ 34	-	+ 28[4)]	-	+ 34[5)]
9. Official short-term capital	+ 62	+ 32	+114	-242	+ 12	+102	-114	-
10. Recorded private short-term capital	- 2	- 24	+ 4	- 26	- 26	+ 30	+ 2	- 28
11. Residual item	- 4	- 41	- 36	- 26	- 4	- 32	- 10	- 16
12. General total	+298	- 35	+165	+ 74	+104	+ 61	-130	+204
13. Movements of net external assets of monetary institutions[8)]	+298	- 35	+165	+ 74	+104	+ 61	-130	+204
of which:								
14. Operations with the I.M.F.	-	+ 28[3)]	-	+ 72	-	-	-	+ 72[6)]
15. Official gold and foreign exchange reserves	+334	-118	+200	+235	+125	+ 75	+ 50	+185

NOTES: See following pages.
SOURCE: National Bank of Belgium.

NOTES:

1) Claims on the European Payments Union for 1958 and bilateral claims and debts arising from the liquidation of the E.P.U. for the following years were transferred from monetary movements to the item "official long-term capital". This resulted for this item in an additional outflow of $20 million in 1958 and additional inflow of $46 million in 1959, $41 million in 1960 (2 million in the first half and 39 million in the second) and $62 million in the first three quarters of 1961 (22 million in the first half and 40 in the second).
2) Advance repayment by France of special E.P.U. credit.
3) Payment in gold in respect of the increase in the B.L.E.U. subscription to the I.M.F.
4) Advance repayments of claims arising from the liquidation of the E.P.U. of which:

- France	16 million dollars
- Denmark	8 million dollars
- Sweden	2 million dollars
- B.L.E.U.	4 million dollars
Total	28 million dollars.

5) Advance repayment by France of E.P.U. credit.
6) Of which:

- United Kingdom drawings in Belgian francs	- 90 million dollars
- purchase of Belgian francs by the I.M.F. in exchange for gold	+ 30 million dollars
- other drawings	- 12 million dollars
	- 72 million dollars

7) Of which identified security dealings - 80 million dollars in 1960
- 64 million dollars in 1961.
8) Excluding operations with the E.P.U. and allowing for the trend of assets of Luxembourg financial institutions.

sibles.* Inward movements of long-term public capital funds amounted to $198 million over the whole year (mainly as a result of the policy of consolidating foreign public debt), while there was also a greater influx of long-term private capital. These various movements combined to produce a large surplus on the basic balance for the second half of 1961.

34. Short-term public capital movements showed a substantial deficit both in the first and the second half of 1961. During the first half of 1961, the Belgian banks financed a considerable amount of the public short-term debt in foreign currencies, with the result that they were themselves highly indebted abroad. This explains why, in spite of an overall deficit of $130 million in the first half of 1961, official gold and foreign exchange holdings nonetheless increased by $50 million. In the second half of the year the increase in official assets was essentially due to the improvement in the basic balance.

35. The balance of payments is expected to develop favourably in 1962 in view of the growth of exports and the inflox of private long-term capital from abroad, which is expected to continue. During the first six months of the year, official reserves fell by $52 million, mainly accounted for by a still more marked contraction in the public foreign debt.

IV. LONG-TERM DEVELOPMENT PROBLEMS OF THE BELGIAN ECONOMY

36. After a period of relatively rapid expansion in the immediate post-war years, the Belgian economy has since grown more slowly than many other industrial countries. Progress in the last few years has nevertheless been relatively satisfactory and seems closely linked to the general expansion that has taken place in Europe during this period and especially to the establishment of the Common Market. In fact, the progressive reduction of customs duties and the abolition of quantitative restrictions more rapidly than originally foreseen, have had a favourable effect on Belgian and Luxembourg exports. The adequacy of the long-term rate of growth of the Belgian economy has been called in question, and in view of the difficulty in fixing a criterion for this opinions have been divided. The imperfection of the statistics - results differing according to the reference period chosen - and the fact that the standard of

* For the whole year 1961, the transactions and transfers of the B.L.E.U. on account of goods and services showed a deficit with the sterling area and the other European countries, an appriximate balance with the United States and Canada and a large surplus with the rest of the world.

living in Belgium is already one of the highest in Europe has helped to feed the controversy. It certainly seems, however, that the inherent drive of the Belgian economy is still inadequate and that the effort to modernise the structure of the economy will have to be intensified, especially in the context of the new European framework. This need is emphasised by the authorities who are engaged in working out a series of measures to encourage long-term economic expansion.

Development during the decade 1950-1960

37. In the ten-year period 1950-1960, the gross national product of Belgian rose on an average by 2.7 per cent per year. This rate of growth is probably much the same as that of the United Kingdom but is well below that of many other European countries; Germany (7.4 per cent), Italy (5.7 per cent), Netherlands (5.0 per cent), France (4.3 per cent). The active population however remained stationary in Belgium throughout the period, and if output is measured per man-year, the growth rates are less widely spaced; nevertheless, Belgium still occupies a low place in the list.

38. Economic expansion in Belgium has not been hampered by supply shortages. The small population growth probably contributed to some extent to the lack of dynamism in the economy, particularly by restricting demand for consumer goods and by failing to provide an incentive for modernisation. Unemployment remained fairly high, however, except when economic activity was at a peak. There is no sign of any shortage of productive capacity.

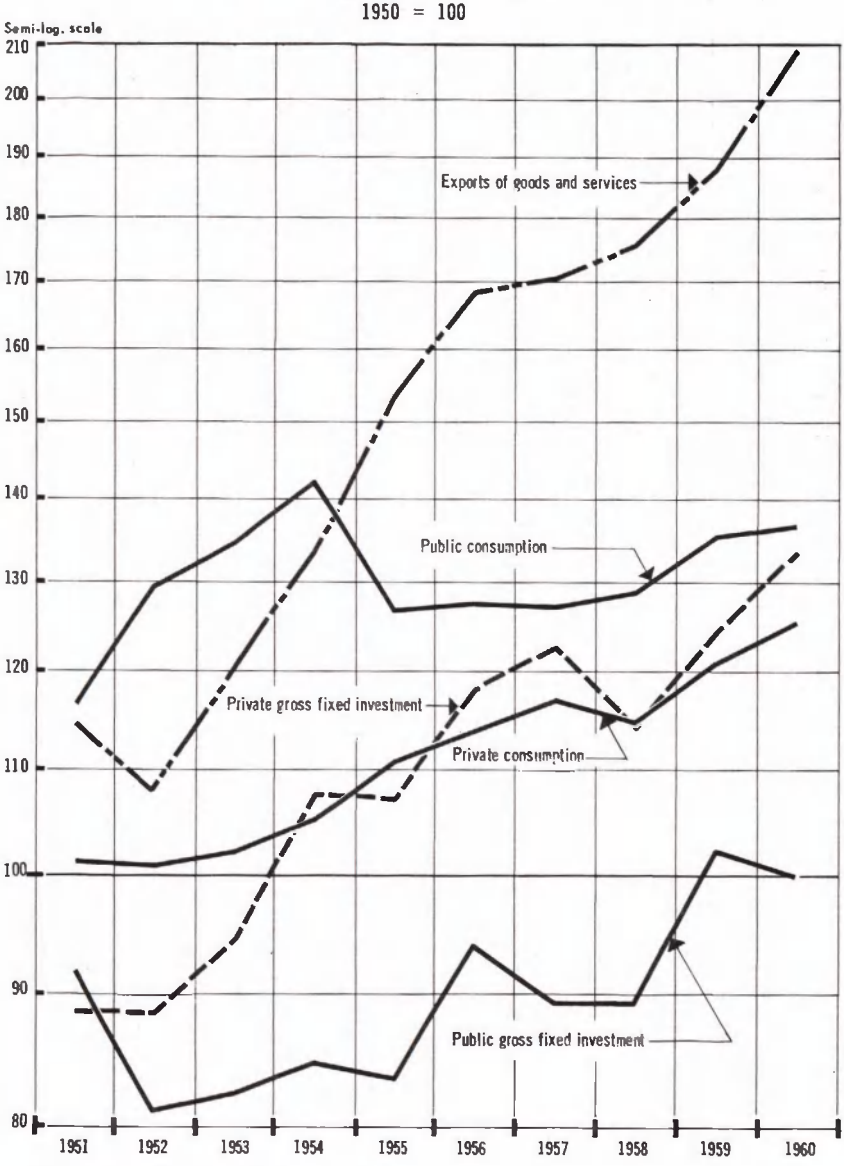
39. The relatively slow growth of the Belgian economy cannot apparently be attributed to the inadequate expansion of exports of goods and services which increased in volume by 110 per cent between 1950 and 1960, an average of 7.7 per cent each year, while the gross national product increased by only 33 per cent and domestic demand by 28 per cent. Imports of goods and services also expanded rapidly, increasing in volume by 85 per cent between 1950 and 1960. This increase was, less than that of exports, and the external surplus therefore rose.

40. Internal demand did not have the same stimulating effect as external demand. In ten years, from 1950 to 1960 private consumption increased by 25.4 per cent, or an average of 2.3 per cent each year. Private investment increased by 34 per cent during this period (an average of 3 per cent each year) and current government expenditure on goods and services by 37 per cent (3.2 per cent each year). On the other hand, it was not until 1959 that public investment regained the exceptionally high level reached in 1950, during the Koreen boom. On the whole, in spite of a fairly considerable increase in savings, the increase in investment has remained modest.

Diagram 3

THE TREND OF DEMAND AT CONSTANT PRICES

1950 = 100



SOURCE : Cahiers économiques de Bruxelles n° 12.

Table 5. TREND OF MALE UNEMPLOYMENT IN BELGIUM

(thousands)

	1950	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960	AVERAGE 1950-1960
Theoretical number of unemployed[1]	62	63	62	61	61	61	61	61	61	61	61	61
Unemployed actually recorded[2]	132	106	117	125	121	98	71	61	91	109	92	102
Difference	70	43	55	64	60	37	10	-	30	48	31	41

1) Number of unemployed that would have been recorded if the rate of unemployment had remained at the 1957 level (2.5 per cent of civilian male labour).

2) A certain number of registered unemployed are totally or partially unfit for work.

SOURCE: National Institute of Statistics.

41. The limited importance of public expenditure can be explained partly by the fact that tax revenue is lower than in many other countries and by a chronic shortage of finance. In addition, expenditure has not always been oriented towards the most productive sectors: transfers as a whole are fairly high and subsidies were frequently used to support sectors in structural decline (coal mines for example). Public investment expenditure, which has represented only 1.7 per cent of the gross national product in recent years, was even lower as a part of ordinary expenditure had to be financed by borrowing. There appears to have been no overall planning and fluctuation in public expenditure intensified rather than offset cyclical fluctuations. In particular, in periods of recession when revenue dropped, any retrenchment of public expenditure nearly always affected public works projects first. The proportion of investment expenditure devoted to infrastructure has also not been adequate.

42. From 1950 to 1960 gross fixed capital formation in the private sector amounted to only 14 per cent of the gross national product. However, as capital goods are relatively cheaper in Belgium, this percentage is not exactly comparable with those which might be established for other countries. Less than half of private investment went to industry, where it is concentrated in the traditional sectors such as sources of energy, basic metal industries, manufacture of metal products and textile processing.

43. The rate of personal savings is, however, particularly high in Belgium (amounting to 9.2 per cent of net disposable income as against 7.1 per cent in the United States and 5 to 6 per cent in the United Kingdom and Germany) and it is tending to increase still further. This trend corresponds to a fairly low rate of growth of private consumption. In the absence of precise statistics it is difficult to determine the origin of this phenomenon and whether it can be specially attributed to the distribution of income. Wages accounted for 54.7 per cent of total distributed income in 1950 and 58.5 per cent in 1960 but it should be added that the proportion of wage earners in relation to total civilian manpower rose during the same period from 71.5 per cent in 1950 to 76.6 per cent in 1960.

44. There was some reluctance to place these savings in risky investment projects. Private investors showed a distinct preference for property, Government stock, bonds of "para-statal" credit institutions, foreign securities or more liquid forms of savings. Moreover, savings institutions either through excess in caution or because of statutory obligations, invested their available capital chiefly in Government bonds and mortgage loans.* The expansion of the supply of money which remained

* At the end of 1959 short, medium and long term credits granted by these institutions to private business amounted to 30 per cent of their total financial assets.

fairly low in Belgium, was due mainly to the increase in foreign assets and short-term Treasury financing, while the financial market was reserved especially for official issues.

45. It was therefore not the lack of capital which checked investment (except in 1951 and some months in 1957), although small and medium-sized entrepreneurs, who are reluctant to lose control of their business, may experience some difficulties in finding finance. A considerable amount of savings is invested abroad in real estate or Government bonds; on the other hand, the demand for capital by Belgian firms is relatively insignificant. This passive attitude of Belgian industrialists has been attributed to low profits. Until recent years they were hampered by higher production costs than elsewhere and a calculation of the commercial return provided no incentive to launch out, on new activities; industrialists were on the contrary more concerned to defend established situations by preferring investment in modernisation. The small size of many undertakings (industrial concentration is much lower in Belgium than in the other E.E.C. countries) was a further discouragement to enterprise.

46. The following factors have probably also contributed towards directing investment by preference towards the traditional sectors. Most investment is self-financed. Difficulties in the coal industry have also favoured this orientation. Furthermore, the taxation of capital gains on portfolio investment has frozen this investment, while the banking system has been somewhat lacking in flexibility. Finally, it appears that scientific research has not had the same backing in Belgium as in neighbouring countries and has therefore not been able to play its part in widening the horizons of industrialists. For these various reasons, the older sectors of industrial activity (mining and quarrying, basic metallurgy, textiles) occupy a larger place in Belgium than elsewhere, and, contrary, to the trend in other industrialised countries, are tending to preserve it; this is reflected in a certain rigidity of the industrial structure. Nevertheless, the Belgian economy found itself well placed when the progressive lowering of tariff barriers following integration intensified competition and, by opening new markets in rapidly expanding countries, created favourable conditions for increased sales of finished products. Not only were the Belgian entrepreneurs able to stand up to foreign competition, but, most important, they were encouraged to turn increasingly towards the manufacture of more fully finished products, the foreign market for which is steadily expanding.

47. As already indicated foreign demand played an important part in sustaining expansion in Belgium. Foreign sales, however, developed more slowly than in many other European countries. Thus Belgium's share in total exports of European Member countries of the O.E.C.D. dropped from 8.5 per cent in 1956 to 7.3 per cent in 1961 and from 15.7 to 12.1 per cent of total exports of E.E.C. countries. While Belgian exports

Table 6. CAPITAL TRANSACTIONS OF THE NATION

In billions of Belgian francs

	AVERAGE 1950-1956	1957	1958	1959	1960
NATIONAL GROSS CAPITAL FORMATION	83.5	119.8	117.1	111.0	124.0
Individuals	20.5	31.5	28.1	30.7	35.1
- Housing	17.9	27.9	24.7	27.0	30.1
- Motors	2.6	3.6	3.4	3.7	5.0
Undertakings	46.0	64.3	57.2	60.0	69.3
- Plant	11.6	15.2	15.5	15.5	17.2
- Machinery and equipment .	25.2	32.8	33.4	36.9	37.3
- Vehicles	6.0	8.2	7.6	8.2	10.8
- Stocks	3.2	8.1	0.7	-0.6	4.0
Government	12.6	14.3	11.9	12.7	13.4
- Engineering	7.1	9.5	8.4	10.0	10.1
- Equipment	0.5	0.5	0.6	0.4	0.6
- Military investment	5.0	4.3	2.9	2.3	2.7
Rest of the World	4.4	9.7	19.9	7.6	6.2
- Private capital	4.1	9.0	6.4	7.7	n.a.
- Public capital	-0.5	-1.4	-2.4	3.6	n.a.
- Increase in foreign exchange reserves	0.8	2.1	15.9	-4.1	6.2
FINANCING OF GROSS CAPITAL FORMATION	83.5	119.8	117.1	111.0	124.0
Capital consumption by	42.7	58.2	61.2	63.2	65.4
- Individuals	7.9	10.3	11.0	11.3	12.0
- Housing	5.8	7.0	7.6	7.6	7.8
- Other	2.1	3.3	3.4	3.7	4.2
- Undertakings	28.8	38.7	40.5	42.5	44.2
- The Government	6.0	9.2	9.7	9.5	9.2
Private and public savings ...	40.8	61.6	55.9	47.7	58.6
- Savings of private persons .. of which:	41.2	56.8	70.5	63.1	n.a.
- deposits	7.0	6.5	15.1	16.4	11.6
- reserves	7.6	10.7	9.4	9.9	9.8
- mortgages and real estate .	8.3	10.6	10.7	13.0	14.0
- subscriptions to new issues	9.1	13.6	16.2	11.0	14.5
- purchases of motor vehicles	0.5	0.3	-	-	0.8
- Company savings	2.2	1.9	-0.4	1.1	n.a.
- Joint stock companies	2.5	2.0	-0.1	-0.4	n.a.
- Public enterprises	-0.3	-0.1	-0.3	0.5	n.a.
- Government savings	-2.6	2.9	-14.2	-15.5	-14.2

SOURCES: "Cahiers économiques de Bruxelles", October 1961, DULBEA, Ministry of Economic Affairs, General Savings and Pensions Fund, National Bank.

are favoured by their geographical orientation (a high proportion go to countries that have experienced inflation or whose gross national product has rapidly increased), they are handicapped by their structure. In fact, they consist chiefly of semi-finished products (products in the first stage of processing, intermediate products, ordinary quality mass-produced products, products designed for industry rather than consumption). The demand for these products is rising more slowly and is subject to cyclical variations; this type of product is also open to competition from new countries. Even in the output of those products in which Belgium specialises, growth has been slower over the period 1950 to 1960 than in the rest of the E.E.C.

48. If the terms of comparison are enlarged in time and space, the trend of the foreign trade of the B.L.E.U. appears more favourable. Thus, taking the whole of the exports of the industrialised countries of the O.E.C.D., adding Canada and the United States to the European countries, the proportion of Belgian and Luxembourg exports amounts to 7.6 per cent in 1961 compared with 8.5 per cent in 1953. Taking world exports as a whole, though admittedly this is a rather heterogeneous group, the share of Belgium and Luxembourg has increased from 3 per cent in 1953 to 3.3 per cent in 1961. A further encouraging increase has taken place in the relative importance of finished products, which amounted to 32 per cent of total exports in 1960 compared with 29.2 per cent in 1953 and 22.3 per cent in 1936-1938. Under the heading "metal processing" alone the percentages were respectively 11 per cent, 17 per cent and 19 per cent in 1960. The transformation of the pattern of B.L.E.U. external trade has therefore already begun.

Current changes in the pattern

49. For some years past a change has been taking shape. Whereas after the War almost the sole purpose of investment was to save labour and coal, which had become relatively costly, investment projects are now being under taken with a view to expansion, sometimes in co-operation with foreign firms. This investment is calculated to create new jobs and to some extent to modernise the structure of industry. In addition to iron and steel, where plant has been modernised, this investment has taken place mainly in the chemical and metal processing industries. In this way the production of more fully finished products is being intensified and the range of exportable goods widened.

50. The authorities, for their part, have endeavoured to facilitate the financing of new investment. The legislation of July 1959 was already a step in this direction. Other measures have been taken with a view to making the finance and money markets more flexible such as the Act relating to the appreciate of the portfolio of holding companies, the reform of the money market, the relaxation of banking regulations, and, finally, the

fiscal reforms now being discussed in Parliament. Along the same lines, budget policy aims at reducing government calls on the financial market so as to leave it freer to finance productive investment. In addition, the National Council on Scientific Policy is concerned with the development of research, which will be encouraged by the grant of subsidies. The authorities are also seeking to enlarge the outlets of the Belgian economy by despatching trade missions to the new countries. The results of this policy have not yet made themselves fully felt.

V. CONCLUSIONS AND RECOMMENDATIONS

51. The statistics available in Belgium are far from adequate and it is difficult to form an accurate opinion of the country's present economic situation. The phase of prosperity seems to be continuing and the progressive elimination of unemployment is an encouraging factor. The expansion of exports since the beginning of the year is another favourable development. In the metal working and building industries, too, the situation on the whole remains satisfactory. Certain sectors, however, (especially textiles) are complaining that business is becoming slacker and the trend of industrial production indices point to a levelling off of activity rather than a definite resumption of expansion.

52. In the last three years, as a result of the boom, gross national product increased at a slightly higher rate than before; this progress, however, was chiefly due to the growth of external demand, and while the problem of the rapid and balanced growth of the economy is rightly attracting the authorities, the improvement in the long-term growth trend must be considered. The various reforms progressively introduced by the Belgian authorities, especially those aimed at stimulating productive investment and reforming the public finances, are encouraging, but the efforts being made to achieve the growth targets set must be systematically pursued, especially in the fields of productive investment and public finance.

53. The work of the Economic Programming Office and the preparation of a Five-Year Programme for 1961-1965 should make it possible not only to determine the most suitable framework for economic growth in Belgium, but also, simply by setting more ambitious objectives than in the past, to create a spirit of enterprise and incite private firms to do their utmost to adapt themselves to new economic requirements. The first outline of the programme, submitted to Parliament in December 1960, is being revised and fairly detailed projections for 1965 should shortly be published. The authors of the programme have every hope that gross national product will increase as

forecast by 25 per cent in volume from 1959 to 1965 (3.9 per cent yearly). This result could be achieved with slightly lower investment than was considered necessary in 1960. On the other hand, public consumption will have to be somewhat higher.

54. Whatever value may be attached to setting a framework for growth, the measures taken to stimulate productive investment and to ensure that it is employed as efficiently as possible while respecting the entrepreneur's freedom of choice must be reinforced. The legislation of July 1959 reflected this concern and the credits granted under it have recently been speeded up. Although a substantial proportion of requests for credit comes from the traditional sectors which have extended their activities to new branches, the legislation in question has to some extent contributed to the modification of industrial structure. The "Société nationale d'Investissement" which has just been set up under the Act of 2nd April 1962,* and the regional investment companies that are to supplement it, will in principle have an active part to play as they will be able to intervene in sectors where private enterprise fails to act. Their capital, however, is for the time being fairly limited and they will not begin to operate effectively for some time.

55. For reasons connected with the structure of the budget, the budget deficit, far from stimulating expansion, has been an obstacle to it. The appearance of heavy current deficits and the already high Government indebtedness have made it difficult to carry out a well-ordered programme of public investment. Replanning of the budget for current operations is therefore one of the first tasks and the new taxes introduced in 1960 and 1961 meet this purpose. This calls not so much for curtailing expenditure though there is still room for improvement in the pattern, as for reorganising the collection of revenue. This is the aim of the tax reform at present under study. In the case of public investment, a programme is being drawn up for the 1962-1965 period, in accordance with the objectives of the Development Programme. This investment would then increase from 27 billion francs in 1962 to 33 billion in 1965. When this programme has been finalised, it is important that its application should be strictly supervised.

56. Government action whether in the form of budgetary policy or with the assistance of bodies such as the National Investment Company and the National Industrial Credit Company should aim at speeding up investment as much as the economic situation permits. Energetically pursued this should produce a multiplier effect which would be amplified by the activity of the private sector. There is, however, the danger that firms would then experience difficulties in financing their investment

* 75 per cent of the capital of this company must be subscribed by the Government and public financial institutions. It is to assist small and medium-sized industrial and commercial firms by taking temporary holdings of their capital (80 per cent at most, with certain exceptions) and by granting them short-term credit.

although so far this has not been a problem. As the propensity to save is high, special care must be taken to ensure that savings are effectively channelled into productive investment. This means that Belgian firms must again attract a wide clientele on the capital markets. It is also important that institutional savings should be concentrated more on investment in private industry. The banking system also must be encouraged to increase its aid to the economy both through the traditional machinery of short-term credit and even by taking a share in medium-term financing. The reforms adopted in January 1962, introducing a greater degree of flexibility into the money market and the banking system therefore seem a step in the right direction.

57. Although a fairly serious deterioration in the balance of payments might have been feared following events in the Congo, it has not materialised. The Belgian economy rapidly succeeded in finding new outlets which more than made up for the losses due to the loosening of the economic ties with the Congo. This reorientation of Belgian exports was facilitated both by the strengthening of the competitive position of the Belgian economy and by the accelerated realisation of the Common Market. The expansion of Belgian exports in recent years is all the more noteworthy since it took place at a time when competition on the export markets, especially in Western Europe was becoming keener. Nevertheless, while the expansion of exports to the Common Market countries has helped to improve foreign exchange receipts, Belgium must also be vigilant in keeping her place on other markets too. The inflow of foreign capital has been another favourable factor from every point of view: this capital is a direct stimulus to investment. To the extent that the expansion of the Belgian economy becomes more marked, Belgian and foreign capital will be all the more attracted to investment in Belgium. All these considerations warrant the opinion that there will be no problem of external finance in Belgium if a bold programme of economic development is carried out, provided that monetary and financial policy ensures the continuance of the balance between prices and costs which has been achieved in recent years.

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STATISTICAL ANNEX

Table I. PRODUCTION, EMPLOYME

	UNIT OR BASE	1960	1961
INDUSTRIAL PRODUCTION INDICES [1]	1953 = 100		
1. General (non-adjusted)	Monthly average	129	135
2. General (seasonally adjusted)	-	...	...
3. Mining and quarrying	Monthly average not seasonally adjusted	79	77
4. Manufacturing	-	140	147
5. Building materials [3]	-	143	144
6. Basic metals	-	149	148
7. Metal product	-	139	150
8. Textiles	-	116	127
9. Food, beverages and tobacco	-	122	127
10. Chemical products	-	171	184
BUILDING ACTIVITY [2]			
11. Licences granted	Total for the period	48,228	51,906
12. Buildings completed	-	37,754	42,369
13. RAILWAY FREIGHT (inland) [3]	1953 = 100 Standard months	77	75
EMPLOYMENT INDICES [3]	1953 = 100		
14. Industries as a whole	Non-adjusted monthly averages	95	96
15. Fuel and energy	-	71	62
16. Primary metals	-	107	110
17. Metal products	-	107	115
18. Chemical products	-	112	113
19. Textiles	-	84	84
20. Food	-	98	97
21. Total employment in industry in construction and transport	-	94	95
UNEMPLOYMENT			
22. Wholly unemployed [2] M	Thousands daily average	82.1	64.6
23. F	-	28.0	23.3
24. T	-	110.1	87.9
25. Partial and casual unemployment [2] M	-	37.3	29.[illegible]
26. F	-	10.8	10.[illegible]
27. T	-	48.1	40.[illegible]
28. Total unemployment [2]	-	158.1	128.[illegible]
29. Wholly unemployed [1]	Thousands seasonally adjusted daily averages		
30. Unfilled vacancies [1]	-	7.9	12.8

Table II. WA

	UNIT OR BASE	1960	1961
1. Index of wages and allowances in industry and transport (excluding mining) Base: married man with 2 children [3]	1953 = 100 - end of period	130	135
2. Consumer price index (official) [1]	1953 = 100 - monthly averages	110	111
3. Wholesale price index [1]	-	103	102

1) O.E.C.D. Statistical Bulletins.
2) Statistical Bulletins of the Institut National de Statistiques.
3) Service mensuel de Conjoncture de l'Institut de Recherches économiques et sociales de l'Université de Louvain.

ND OTHER BUSINESS INDICATORS

1960				1961				1962		
1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	APRIL	MAY 1)
129	133	124	131	126	142	129	142	140	139	
129	130	137	128	125	139	136	139	139	135	
81	80	74	79	74	82	72	81	75		
140	144	135	142	137	155	141	155	154		
132	154	145	135	124	152	147	151	142		
152	152	148	142	126	163	149	154	158		
143	144	129	141	139	161	140	158	155		
116	117	104	126	124	131	117	135			
111	126	128	124	116	128	131	132	119		
169	172	174	170	167	190	181	200	210		
11,159	14,260	11,840	10,969	13,149	14,979	12,795	10,983			
8,436	9,160	10,240	9,818	9,399	10,561	11,661	10,748			
74	80	73	79	89	83	74	81	72	78	
94	95	95	95	96	96	96	97	95		
77	73	69	67	66	63	61	59	57		
105	107	108	109	109	111	111	111	109		
103	106	108	110	110	114	116	119	121		
112	113	112	112	113	113	113	114	116		
84	83	83	84	85	84	84	84	84		
95	95	96	103	93	93	98	102	94		
93	94	94	94	93	94	94	95	94		
103.9	77.7	68.2	77.6	88.8	61.3	51.7	55.3	52.0	29.3	
33.3	27.5	23.9	27.1	29.7	23.2	18.7	21.2	22.7	17.3	
137.2	105.2	92.1	104.7	118.5	84.5	70.4	76.5	74.6	46.6	
68.7	33.1	21.4	23.6	43.1	17.3	12.2	75.4	54.1	14.2	
13.0	10.3	9.2	10.2	11.8	8.8	7.5	11.6	12.1	10.3	
81.7	43.4	30.6	33.8	54.9	26.1	19.7	47.0	66.3	24.5	
218.9	148.6	122.7	138.5	173.4	110.6	90.1	123.5	140.9	71.1	
111	112	112	106	95	90	86	78	60	45	44
6.9	7.8	8.9	9.2	9.7	14.1	12.8	15.7	15.3	15.0	17.4

ND PRICES

1960				1961				1962		
1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	APRIL	MAY
127.8	130.7	129.4	131.7	132.2	134.4	134.6	137.3	137.3		
110	110	110	110	110	111	112	111	112	112	114
103	103	102	103	103	102	102	103	103	104	104

Table III. MONEY

	UNIT OR BASE	1959
1. MONEY SUPPLY[1]	Billions of Belg.fr. - end of period	216.3
COMMERCIAL BANK DEPOSITS[1]		
2. Sight deposits and less than one month	-	65.4
3. Other deposits	-	33.9
SHORT-TERM CREDIT GRANTED TO THE ECONOMY[1]		
Credit to the private sector:		
4. by the Central Bank	-	4.1
5. by the Commercial Banks	-	42.3
6. Credit to Government by the Commercial Banks	-	70.2
SAVINGS		
7. Deposits at the "Caisse générale d'Epargne et de retraite"	-	74.4
INTEREST RATES[2]		
8. Rediscount rate	Percentage - end of period	4.00
9. Call money (day to day) rate	-	2.12
10. Interest on 6 months, Treasury bills	Percentage - beginning of period	3.62
11. Interest on 5 to 20 years, Government loans	Percentage - end of period	5.11

Table IV. PUBLIC

	UNIT OR BASE	1960	1961
EXECUTION OF BUDGET (actual receipts and expenditure)[3]	Billions of Belg.fr. total for the period		
1. Receipts	-	108.4	120.7
2. Expenditure	-	134.9	140.6
3. Balance	-	- 26.5	- 19.9
SITUATION OF PUBLIC DEBT[4]	Billions of Belg.fr. - end of period		
4. Consolidated internal debt	-	231.0	241.3
5. Consolidated external debt	-	19.1	20.3
6. Medium and short-term internal debt	-	119.1	121.0
7. Medium and short-term external debt	-	27.0	28.3
8. Total debt	-	409.9	411.0

1) O.E.C.D. Statistical Bulletins. General Statistics.
2) Bulletins d'information et de documentation de la Banque nationale de Belgique.
3) Bulletins de documentation du ministère des Finances.
4) Service mensuel de conjoncture de l'Institut de Recherches économiques, sociales et politiques de l'Université de Louvain.

AND BANKING

1960				1961				1962		
1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	APRIL	MAY
212.5	219.9	214.2	220.5	222.6	226.8	228.6	237.4	236.3	236.4	
66.6	68.8	64.6	66.0	70.1	70.3	69.4	72.9	73.8	73.2	
38.7	36.7	37.3	37.8	40.5	41.8	45.5	48.2	52.5	51.9	
2.8	2.3	5.6	2.1	3.7	3.6	1.7	5.2	2.0	2.5	1.9
46.2	45.3	44.8	48.8	49.6	52.0	53.1	57.8	63.0	62.5	62.5
70.4	74.6	74.5	70.2	80.4	90.0	94.2	90.7	88.4	90.9	91.0
76.1	76.4	76.4	78.9	79.7	80.2	81.2	84.6	86.8	87.0	87.2
4.00	4.00	5.00	5.00	5.00	5.00	4.75	4.50	4.00	4.00	4.00
1.95	2.58	4.14	2.67	2.38	2.85	2.50	2.25	1.87	1.74	1.82
4.20	4.27	-	-	4.87	4.85	4.71	4.70	3.70	3.54	3.48
5.23	5.28	5.74	5.85	6.00	5.90	5.85	5.71	5.47	5.37	5.28

FINANCE 3)

1960				1961				1962		
1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	APRIL	MAY
25.8	25.7	30.6	26.3	29.2	29.2	30.0	32.3	30.9		
35.6	34.6	31.4	33.3	37.7	35.3	32.0	35.6	40.9		
- 9.8	- 8.9	- 0.8	- 7.0	- 8.5	- 6.1	- 2.0	- 3.3	- 10.0		
221.5	226.8	226.0	231.0	230.8	236.5	235.6	241.3	246.4	245.0	244.7
19.9	19.6	19.4	19.1	18.9	18.6	19.4	20.3	20.2	21.6	21.5
124.9	123.8	123.7	119.1	124.7	121.5	121.0	121.0	125.5	133.4	133.4
15.6	19.0	20.3	27.0	31.7	32.7	30.2	28.3	26.4	23.4	23.2
381.9	389.2	389.4	396.1	406.3	409.3	406.2	411.0	418.6	423.4	422.8

Table V. FOREIG

	UNIT OR BASE	1960	1961
1. NET GOLD AND FOREIGN EXCHANGE HELD BY THE CENTRAL BANK	Millions of $ - end of period	1,422	1,65
2. C.I.F. IMPORTS	Millions of $ - monthly average	324	34
3. F.O.B. EXPORTS	-	312	32
4. TRADE BALANCE	-	- 12	- 2
5. C.I.F. IMPORTS	Millions of $ - monthly average seasonally adjusted	...	...
6. F.O.B. EXPORTS	-	...	...
7. TRADE BALANCE	-	...	...
VOLUME INDICES	1953 = 100		
8. Imports	seasonally adjusted	174	18
9. Exports	-	168	17
10. Imports	-	...	...
11. Exports	-	...	...
12. TERMS OF TRADE	-	104	10

1) O.E.C.D. Statistical Bulletins. General Statistics

TRADE (B.L.E.U.) [1]

1960				1961				1962		
1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	APRIL	MAY
1,295	1,347	1,219	1,422	1,442	1,472	1,552	1,657	1,662	1,620	1,632
333	319	314	330	356	346	326	360	367	355	
322	318	287	321	308	336	317	342	366	357	361
- 11	- 1	- 27	- 9	- 48	- 10	- 9	- 18	- 1	+ 2	
329	315	333	321	352	347	348	352	361	354	
316	314	305	315	303	336	339	337	359	357	341
- 13	- 1	- 28	- 6	- 49	- 11	- 9	- 15	- 2	+ 3	
174	168	169	178	187	181	173	189	192		
175	174	159	178	170	186	176	190	204		
172	166	179	173	185	181	185	185	190		
172	172	169	174	167	187	188	187	200		
103	103	104	104	103	101	103	101	101		

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